1. A comprehensive law regulating the registration and functioning of political parties or alliances of parties should be made. The proposed law should–

(a) provide that political party or alliance should keep its doors open to all citizens irrespective of any distinctions of caste, community or the like.

(b) make it compulsory for the parties to maintain accounts of the receipt of funds and expenditure in a systematic and regular way.

(c) make it compulsory for the political parties requiring their candidates to declare their assets and liabilities at the time of filing their nomination.

(d) provide that no political party should provide ticket to a candidate if he/she was convicted by any court for any criminal offence or if the courts have framed criminal charges against him/her.

(e) specifically provide that if any party violates the above provision, the candidate involved should be liable to be disqualified and the party deregistered and derecognized.

2. The Election Commission should progressively increase the threshold criterion for eligibility for recognition so that the proliferation of smaller political parties is discouraged.

3. A comprehensive legislation providing for regulation of contributions to the political parties and towards election expenses should be enacted by consolidating such laws. This new law should:

(a) aim at bringing transparency into political funding;

(b) permit corporate donations within higher prescribed limits;

(c) make donations up to a specified limit tax exempt;

(d) make both donors and donees of political funds accountable;

(e) provide that audited political party accounts should be published yearly; and

(f) provide for de-recognition of the party and enforcement of penalties for filing false election returns.

14. On Anti-Defection Law

The provisions of the Tenth Schedule of the Constitution should be amended to provide the following:

1. All persons defecting (whether individually or in groups) from the party or the alliance of parties, on whose ticket they had been elected, must resign from their parliamentary or assembly seats and must contest fresh elections.

2. The defectors should be debarred to hold any public office of a minister or any other remunerative political post for at least the duration of the remaining term of the existing legislature or until the next elections whichever is earlier.

3. The vote cast by a defector to topple a government should be treated as invalid.

4. The power to decide questions regarding disqualification on ground of defection should vest in the Election Commission instead of in the Speaker/Chairman of the House concerned.